

Geopolitical Pressures on Wall Street: Rising Oil Prices & Trade Conflicts.

Written By Roselyn

There are various inputs that have great effects on Wall Street U.S. equities. The uprising turmoil of the U.S.-Canada tariff war and rising oil prices due to a multitude of reasons has caused many investors to sell U.S. stocks and overall cause a decline in the value of the U.S. dollar. This fundamentally changes consumer behavior with many having to make spending adjustments, rely more heavily on credit lines, and drain savings. It is crucial to understand why our economy is facing these issues, in order for awareness to become actions. The S&P 500 is down 0.48%, the Dow fell 0.60%, the Nasdaq declined 0.64%, and crude oil has surpassed \$100 at \$103.72 per barrel. This is its highest since July, after U.S. forces struck five Iran-linked tankers in the Strait of Hormuz. This is a meaningful jump from the \$99.22 level on September 8th, 2026. On the trade side, Canada's main stock index (TSX) fell to an eight-day low, and oil and bond yields climbed together. Canada imposed tariffs ranging from 15% to 50% on about \$20 billion in U.S. goods, mainly targeting dairy products, steel, and wood. This happened in response to Trump's 50% tariffs on Canadian goods announced in late August.

Figure 1



[Trading Economics Data](#)

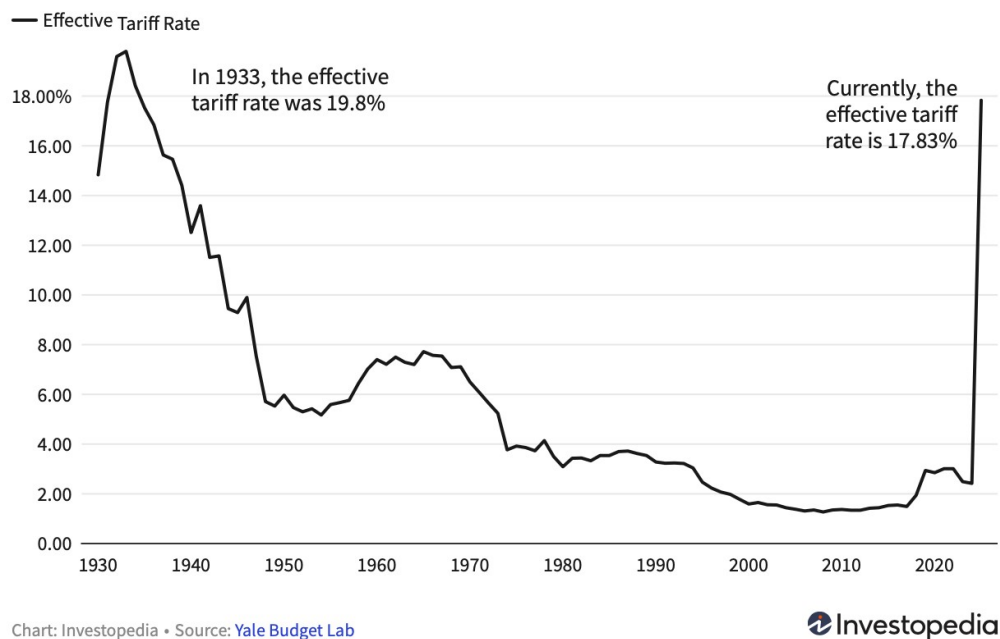
This data shows the sharp upward trend on WTI crude oil that occurred after July, once tariffs and oil both started increasing. Oil makes prices higher at the pump and in shipping costs, while tariffs push prices higher on many things from dairy to steel. They are one compounding shock, since both push consumer prices higher at the same time, and the Federal Reserve now must two sources of inflation

pressure instead of just one. Wall Street is not just reacting to oil or tariffs. It is reacting to the odds that this combination keeps rates higher for longer.

Brent Crude oil is a trading classification of light, sweet crude oil, that serves as the leading international benchmark for pricing around two-thirds of the world's oil. It is mostly sourced from oil fields in the North Sea, while West Texas Intermediate crude oil (WTI) is produced in the United States. It is the main price benchmark for North American oil. Since the price is climbing very steeply and fast it signals this is occurring due to a supply shock rather than an increase in demand.

The root cause is the escalating conflict between the United States and Iran. The flow of oil through the Strait of Hormuz, a narrow passage that carries roughly a fifth of the world's oil supply, has been repeatedly threatened. U.S. forces have repeatedly struck Iranian tankers with Iran claiming retaliatory hits on American vessels. Additionally, on September 11th, 2026, Saudi Arabia has shut down an East-West crude oil pipeline after multiple attacks causing overall production capacity to fall by roughly 600,000 barrels per day. Every strike adds more uncertainty about whether tankers can move safely through the strait at all, and market price that uncertainty immediately. Oil prices directly affect transportation costs, manufacturing inputs, and eventually the prices consumers see at gas stations and store shelves. As a result, the ten-year Treasury yield has increased past 4.85%, its highest level since 2023. Investors demand more compensation for holding their debt while inflation rises.

Figure 2



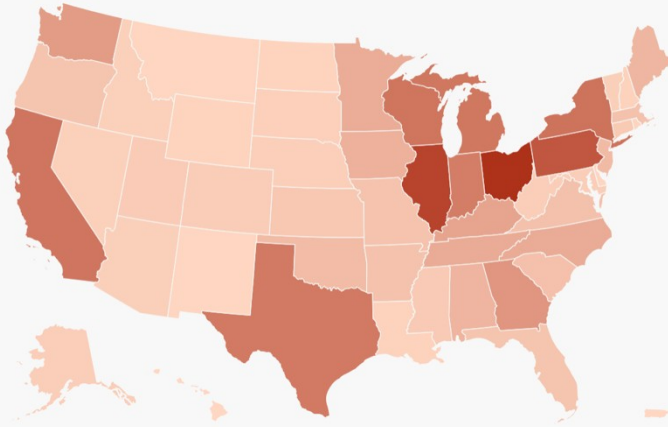
[Investopedia](#)

This graph visually shows the average tax levied on U.S. imports which currently sit at its highest since 1934, according to the Yale Budget Lab. The escalation began when the U.S. imposed a 50% tariff on roughly \$28 billions of Canadian goods in late August. This covered everything from cement and wine to hockey equipment. Canada responded with retaliatory tariffs of about \$27.6 on more than 700 American product categories effective September 8th, 2026. Steel and aluminum increased the most, doubling from 25% to 50%.

Figure 3

Value of US exports to Canada to be affected by tariffs (in billions of C\$)

C\$0bn C\$3.23bn



Source: Scotiabank, Statistics Canada

BBC

[BBC](#)

This chart shows the impact of Canadian counter-tariffs on U.S. states, with Ohio and Illinois being the largest affected. A tariff raises the cost of importing goods, with most companies passing on a portion of that cost to consumers through higher prices. Canada is not the only country that has increased their tariffs. Tariffs spiked as high as 125% in April 2025, China retaliated with 84% duties on U.S. goods and section 301 tariffs on Chinese goods now add another 25% to 100% on certain products. The Supreme Court struck down the IEEPA tariffs, meaning the baseline reciprocal rate and most country-specific rates were invalidated. This created a \$166 billion refund pool that is reportedly open for importers who paid them. Tariffs are often legally contested and constantly shifting which further adds to uncertainty for markets on top of the direct cost impact.

Both oil and tariffs push inflation higher at the same time which ultimately makes it harder for the Federal Reserve to justify cutting interest rates. Higher rates for longer periods of time cause borrowing costs for companies to increase. This means there is a lower present value for future earnings and a stronger incentive for investors to hold bonds instead of stocks. Especially since bonds have started offering a more attractive return with far less risk than equities. Market sectors are impacted differently, since many investors pull back from riskier assets into safe investments. The chart below states the most recent performance from the sectors highlighting which ones have been affected the most.

Figure 2

Sector performance

As of Sep-10-2026 | *As of Sep-11-2026 04:46 PM ET |

Sector	Today* ▲	1-month ◆	3-month ◆	YTD ◆	1-year ◆	5-year ◆	10-year ◆
S&P 500 Communication Services Sector	+1.35%	-1.61%	-3.09%	+0.58%	+6.73%	+59.16%	+169.43%
S&P 500 Consumer Discretionary Sector	+1.13%	-6.44%	-2.15%	-4.08%	-2.72%	+25.81%	+197.80%
S&P 500 Information Technology Sector	+1.11%	-1.46%	+4.66%	+21.82%	+31.14%	+149.64%	+800.72%
S&P 500 Industrials Sector	+1.07%	-8.04%	-2.92%	+9.72%	+13.68%	+66.82%	+192.09%
S&P 500 Real Estate Sector	+0.88%	-4.28%	-3.73%	+7.44%	+4.47%	-7.49%	--
S&P 500	+0.86%	-2.14%	+2.78%	+10.90%	+16.57%	+68.96%	+256.78%
S&P 500 Financials Sector	+0.62%	-1.44%	+8.38%	+3.57%	+6.65%	+50.51%	+192.07%
S&P 500 Consumer Staples Sector	+0.56%	-2.56%	-2.05%	+6.06%	+2.80%	+22.74%	+70.33%
S&P 500 Materials Sector	+0.50%	-3.72%	+0.65%	+11.03%	+11.08%	+21.26%	+114.85%
S&P 500 Energy Sector	+0.34%	+12.14%	+13.51%	+43.97%	+48.84%	+176.76%	+93.40%
S&P 500 Health Care Sector	-0.14%	-0.15%	+7.19%	+6.74%	+19.63%	+23.27%	+133.83%
S&P 500 Utilities Sector	-0.34%	-2.98%	-3.43%	-1.01%	+2.19%	+22.44%	+75.70%

[Fidelity](#)

These two forces have essentially split the market. Energy has been the lone positive sector while Industrials and Consumer Discretionary have greatly fallen. This split is a direct effect of the two issues at hand. Industrial and consumer goods companies both rely on oil prices for fuel and shipping costs across their supply chains, while tariffs raise the cost of parts and materials that cross the borders of our country. Margins get squeezed from two directions simultaneously, and investors sell these stocks first.

This may not be a temporary shock that fades once the current headlines pass. These strong pressures put on our economy structurally shift how markets price risk. For years, investors treated geopolitical flare-ups and trade disputes as separate issues or short-lived events that the market absorbed and moved past. Now, oil and tariffs are reinforcing each other at the same time, and both are greatly pushing inflation higher. This overlap cannot be resolved quickly, and it suggests that investors will keep pricing in this combined risk well beyond any single headline that triggers a selloff.

Most importantly, the upcoming interest rate decision made by the Federal Reserve on September 16th, 2026, will signal how investors should react. This will decide whether policy makers see this as a passing disruption or a strong reason to stay cautious for longer. This will likely set the tone for markets through the rest of the year.

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